

Track 23: Investor-Grade Mobility Infrastructure Memo (v2)

Positioning: An inflation-resilient, asset-backed, cash-flow-generating urban mobility infrastructure play in Lagos, Nigeria.

1. Executive Summary

Track 23 is a structured, data-driven commercial transport platform designed to formalize high-demand Lagos corridors currently served by fragmented informal operators. The model integrates fleet control, cashless fare systems, route intelligence, and investor-grade financial reporting.

- Year 1 focus: operational proof on priority corridors with strict dispatch reliability and leakage suppression.
- Year 3 focus: multi-hub Lagos scale with route-level profitability and enterprise contracts.
- Year 5 focus: city-wide platform scale and interstate replication readiness.

2. Problem Statement

- Urban mobility demand exceeds organized bus supply, creating chronic delays and commuter friction.
- Manual cash collections produce revenue leakages and weak treasury controls.
- Informal dispatch creates inconsistent headways, lower utilization, and poor customer trust.
- Safety, compliance, and maintenance practices are uneven and difficult to audit.
- Fuel and FX volatility destabilize operator margins without dynamic pricing systems.

3. Market Opportunity (TAM, SAM, SOM)

Sizing Framework

- TAM: total annual passenger spend on Lagos bus/minibus commuting.
- SAM: high-density corridors Track 23 can operate under formal permits and hub coverage.
- SOM: bottom-up capture from active buses x trips x occupancy x fare yield.

Underwriting Principle

Investment decisions should rely on bottom-up SOM with corridor-level unit economics, while TAM/SAM supports strategic upside and market depth.

4. Business Model

Revenue Streams

- Passenger fare revenue (core)
- Corporate commuter contracts and seat blocks
- In-bus and hub advertising inventory
- Digital payments and wallet/USSD processing economics
- Data and reporting services for enterprise/regulatory stakeholders

Commercial Logic

- Route-specific fare bands with peak/off-peak controls
- Fuel-indexed fare review framework to preserve real margins
- Fleet rotation to balance mileage and extend asset life

5. Technology Infrastructure

- Admin dashboard: route P&L, load factor, punctuality, incidents, compliance metrics
- Driver management: KYC, shift allocation, behavior scoring, sanctions and incentives
- Route intelligence: headway optimization, congestion-aware dispatching, deadhead reduction
- Revenue tracking: cashless ticketing, reconciliations, anomaly detection, audit trails

- Passenger access: USSD-first ticketing plus QR/smartcard and optional mobile app

6. Operational Structure

- Fleet acquisition: blended purchase, lease-to-own, and asset-SPV financing
- Hub model: central workshop plus distributed depots by corridor cluster
- Driver incentives: fixed base + punctuality bonus + safety bonus - violation deductions
- Fuel control: closed-loop fuel cards, telematics variance checks, route-adjusted norms
- Maintenance control: preventive intervals, approved vendors, parts traceability

7. Financial Model (Base Case)

Key Assumptions

Variable	Y1	Y2	Y3	Y4	Y5
Total fleet (buses)	60	150	320	600	950
Active daily buses	45	120	260	500	800
Revenue per active bus/year (NGN m)	24.0	27.5	31.0	35.0	39.5
Ancillary revenue (% fare revenue)	2%	3%	5%	7%	8%

Projected Financials (NGN bn)

Metric	Y1	Y2	Y3	Y4	Y5
Revenue	1.10	3.40	8.46	18.73	34.13
Operating cost	0.86	2.45	5.58	11.61	19.80
EBITDA	0.24	0.95	2.88	7.12	14.33
EBITDA margin	22%	28%	34%	38%	42%

Capex Plan (NGN bn)

Category	Y1	Y2	Y3	Y4	Y5
Fleet capex	1.92	2.88	5.44	8.96	11.20
Hubs + workshop + tech	0.80	1.00	1.80	2.50	3.20
Total capex	2.72	3.88	7.24	11.46	14.40

Illustrative investor return case: 7.0x Y5 EBITDA implies approximately NGN 100bn enterprise value; equity outcomes target MOIC 3.5x-4.5x and IRR 28%-36%.

8. Expansion Plan

- Year 1-2: Lagos corridor consolidation and KPI discipline
- Year 3: multi-hub Lagos scale and enterprise contracts
- Year 4: multi-investor fleet/depot SPV partnerships
- Year 5: interstate replication of the Lagos operating system

9. Risk Mitigation

- Inflation/FX: indexed pricing, local sourcing, critical parts inventory buffers
- Regulatory: permit-first operations and compliance-grade reporting interfaces
- Fuel volatility: surcharge bands, efficiency controls, phased CNG/e-mobility pilots

- Execution: phased deployment with hurdle-based capex release gates

10. Exit Strategy

- Strategic sale to mobility or logistics platform
- Private equity or infrastructure fund recapitalization
- Secondary liquidity at HoldCo/SPV level after cash-flow stabilization
- Potential public listing path post multi-city operational maturity

Prepared for institutional review. Figures are planning assumptions and should be refreshed with live corridor-level operating data before final IC approval.